Master Direction on Know Your Customer (KYC)

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Synthetic Regulatory Authority

SYN/KYC/2024/01

Dated: January 15, 2024

In exercise of the powers conferred on it, the Synthetic Regulatory Authority hereby issues the following Directions. These Directions shall come into force on April 1, 2024.

CHAPTER I - Preliminary

1. Short Title and Commencement

1.1 These Directions shall be called the Master Direction on Know Your Customer.

2. Applicability

2.1 The provisions of these Directions shall apply to every scheduled commercial bank and small finance bank operating in India, hereinafter referred to as the Regulated Entity (RE).

CHAPTER II - KYC Policy and Governance

3. KYC Policy

3.1 Every RE shall have a Know Your Customer (KYC) policy duly approved by its Board of Directors.

3.2 The KYC policy shall be reviewed by the Board at least once a year.

4. Designated Officials

4.1 The RE shall nominate a Principal Officer who shall be responsible for ensuring compliance, monitoring transactions, and sharing and reporting information to the Financial Intelligence Unit (FIU).

4.2 The name and contact details of the Principal Officer shall be communicated to the FIU within 30 days of the appointment.

CHAPTER III - Customer Due Diligence

5. Customer Identification

5.1 The RE shall undertake customer due diligence (CDD) at the time of commencement of an account-based relationship, by identifying the customer and verifying the identity using officially valid documents.

5.2 The RE shall not open an account where it is unable to apply appropriate CDD measures.

5.3 Where the customer is a legal entity, the RE shall identify the beneficial owner holding more than 10 per cent of the ownership interest.

6. Risk Categorisation

6.1 The RE shall categorise customers as low, medium or high risk based on the assessment of money laundering and terrorist financing risk.

6.2 The risk categorisation of customers shall be reviewed at least once in six months.

7. Periodic Updation

7.1 The RE shall carry out periodic updation of KYC at least once every two years for high risk customers.

7.2 Periodic updation shall be carried out at least once every eight years for medium risk customers.

7.3 Periodic updation shall be carried out at least once every ten years for low risk customers.

8. Video-based Customer Identification Process

8.1 The RE may undertake V-CIP for customer onboarding, subject to the conditions specified in this paragraph.

8.2 The V-CIP interaction shall be recorded and the recording shall be stored in a safe and secure manner.

CHAPTER IV - Record Management and Reporting

9. Record Retention

9.1 The RE shall maintain all necessary records of transactions for at least five years from the date of transaction.

9.2 The RE shall preserve the records pertaining to the identification of customers for at least five years after the business relationship has ended.

10. Reporting to the FIU

10.1 The RE shall furnish Suspicious Transaction Reports (STR) to the FIU within seven working days of arriving at a conclusion that a transaction is suspicious.

10.2 The RE shall furnish Cash Transaction Reports (CTR) for every month to the FIU by the 15th day of the succeeding month.

10.3 The RE and its employees shall not disclose to the customer that an STR has been filed.

CHAPTER V - Monitoring, Training and Audit

11. Transaction Monitoring

11.1 The RE shall put in place an automated system to monitor transactions and generate alerts for unusual patterns of activity.

11.2 Every alert generated by the transaction monitoring system shall be reviewed and closed within 30 days of its generation.

12. Training

12.1 The RE shall conduct KYC and anti-money laundering training for all frontline staff at least once a year.

13. Internal Audit

13.1 Compliance with the KYC policy shall be verified by the internal audit function at least once every quarter.